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**Today's
uncertainty
makes it
important
that India
craft a new
playbook that
can enable
sustainable
and inclusive
growth**

WANTED: A NEW ECONOMIC PLAYBOOK

Here is how India can reach consistent 8-9% real GDP growth required to become developed by 2047

► **THE INDIAN ECONOMY** is in a good place, poised to overtake Japan as the world's fourth-largest. We have been a top performer in GDP and export growth for the past decade and are well positioned to be a major player in crucial industries such as renewable energy, electric vehicles (EVs), semiconductors, and defence. We are already home to almost 2,000 global capability centres (GCCs). We are a global innovation leader, accounting for more than one out of 10 "Unicorns".

And yet, there is room for improvement. The Indian economy has the potential to grow 8-9% a year for the next generation. With 8.5% growth, per capita income would rise almost sixfold by 2047, to the equivalent of over \$15,000 a year. That would improve the quality of life for hundreds of millions of people.

For that to happen, India cannot just keep doing what it has been—successful as that has been. We need a new playbook. This playbook will need to adapt as conditions change; that said, it should include three strategies.

Encourage greater invest-

ment formation with a shift in its mix. Capital accumulation is necessary to create jobs, technological progress, and economic growth. In the public sector, the government has invested about \$1.4 trillion over the past decade to create infrastructure such as roads, railways, ports, and airports. The new playbook is to promote the creation of economically dense infrastructure such as brownfield or greenfield cities and economic clusters.

In the private sector, investment has been stable at 12-13% of GDP. What has changed is its composition, with a significant shift from debt to equity, particularly in mid- and small-cap companies. Overall, balance sheets are in a better shape. Future demand signals are emerging in the form of higher capacity utilisation across industries such as steel, oil refining, renewables, automotive, and chemicals; in response, corporates are getting their capital investment plans ready. With the interest rate cycle on the downswing, a blend of public equity, private capital, and debt is likely the optimal way to fuel near-term capital expenditures.

In addition, there is a need for more foreign direct investment (FDI). India's domestic savings rate